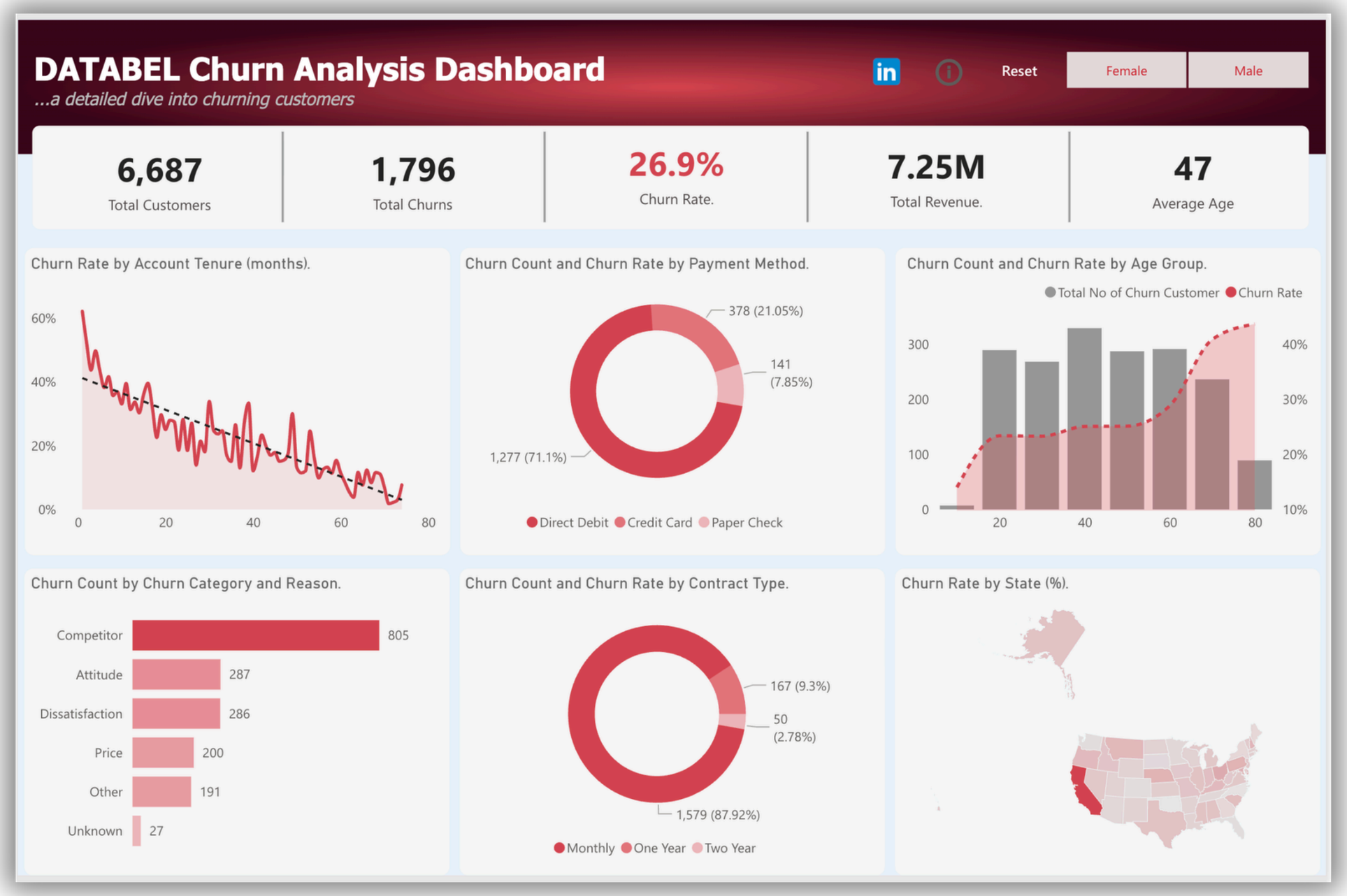
DATABEL

CUSTOMER CHURN ANALYSIS

- Who is churning—and why?
- Which customer segments are most at risk?
- What are the top drivers of churn?
- Are certain regions more likely to churn?
- How does contract type influence loyalty?
- Does payment method signal churn risk?



by Glory Aborisade

DATABEL

CUSTOMER CHURN ANALYSIS REPORT

Data-Driven Insights to Churned Customers

Glory Aborisade

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Executive SUMMARY

- **Churn Rate**: **26.9%** (1,796 out of 6,687 customers)
- **Revenue Lost**: **$7.25M** in historical revenue
- **Top Driver**: **Competitor offers** (45% of churned customers)
- **Key Risk Segment**: **Monthly contracts** (71% of churned customers)
- **Opportunity**: Targeting high-risk segments could reduce churn by about **1,100 customers**

PROBLEM STATEMENTs

"DATABEL is losing 1 in 4 customers, primarily due to competitive pricing and poor contract retention. Without intervention, churn will continue to erode revenue and increase acquisition costs."

1. Who is churning—and why?
2. Which customer segments are most at risk?
3. What are the top drivers of churn?
4. Are certain regions more likely to churn?
5. How does contract type influence loyalty?
6. Does payment method signal churn risk?

Data COLLECTION

- **Source**: Datacamp project Dataset (6,687 records).
- **Timeframe**: Historical customer lifecycle (up to latest activity).
- **Key Tables**:
  - Customers: Demographics, tenure, plan type.
  - Churn Details: Churn label, reason, category.
  - Billing: Monthly/Total Charges, payment method.
- **Metrics Captured**: Age, contract type, account length, billing, location, revenue.

Data
PREPARATION

- **Handled Nulls**:
  - 27 churned customers had blank Churn Category → labeled **"Unknown Reason"**
  - All monetary values in **USD** (no currency conversion needed)

- **Derived Fields**:
  - Age = as of latest activity
  - Account Tenure = Account Length (in months)

- **Filtered**: Only active + churned customers (no duplicates)

Key Measures

```
Total Customers =
CALCULATE(
    DISTINCTCOUNT('Databel - Data'[Customer ID]),
    ALL('Databel - Data')
)
```

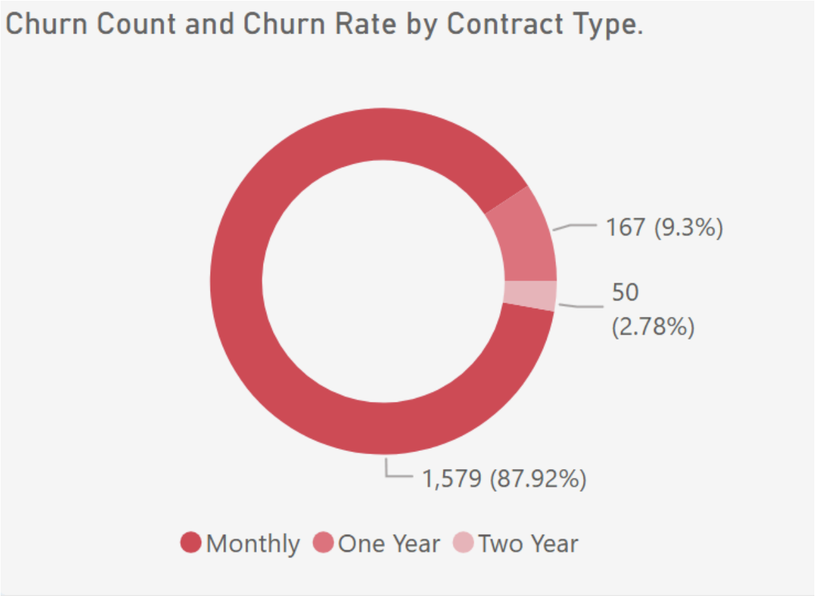
```
Total Churns =
CALCULATE(
    COUNTROWS('Databel - Data'),
    'Databel - Data'[Churn Label] = "Yes",
    ALL('Databel - Data')
)
```

```
Total Revenue. =
CALCULATE(
    SUM('Databel - Data'[Total Charges]),
    ALL('Databel - Data')
)
```

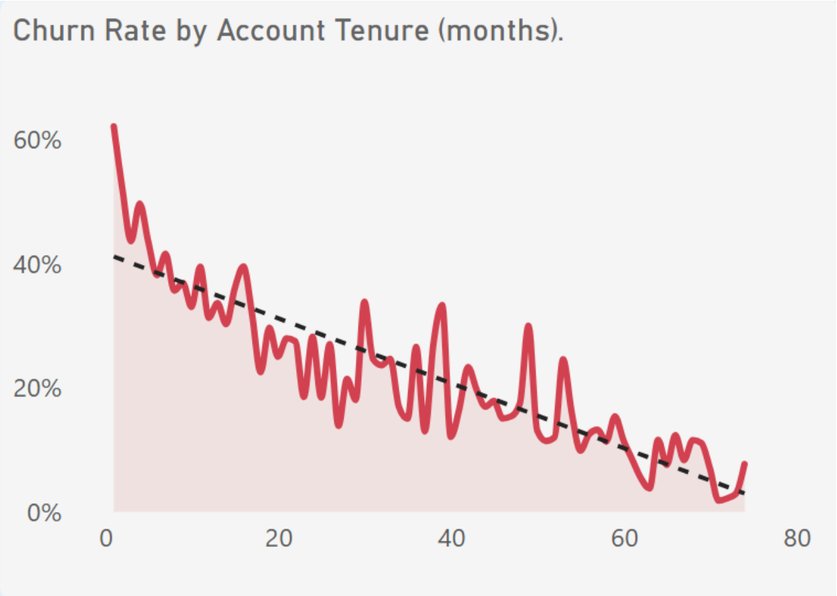
```
Churn Rate =
DIVIDE([Churn Total], [Total Customer])
```

Key
INSIGHT

1. **Contract Type is the #1 Predictor**:
   - **88% of churned customers** were on **Monthly** plans
   - Two-Year contracts have <10% churn

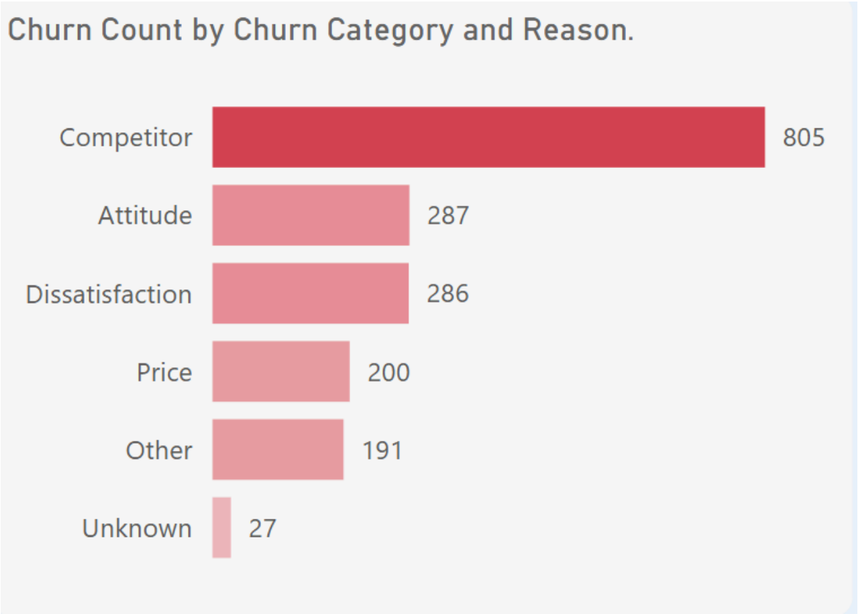


2. **Early Tenure = High Risk:**
   - **Churn rate** drops **sharply** after **24 months**
   - First 6 months = critical retention window

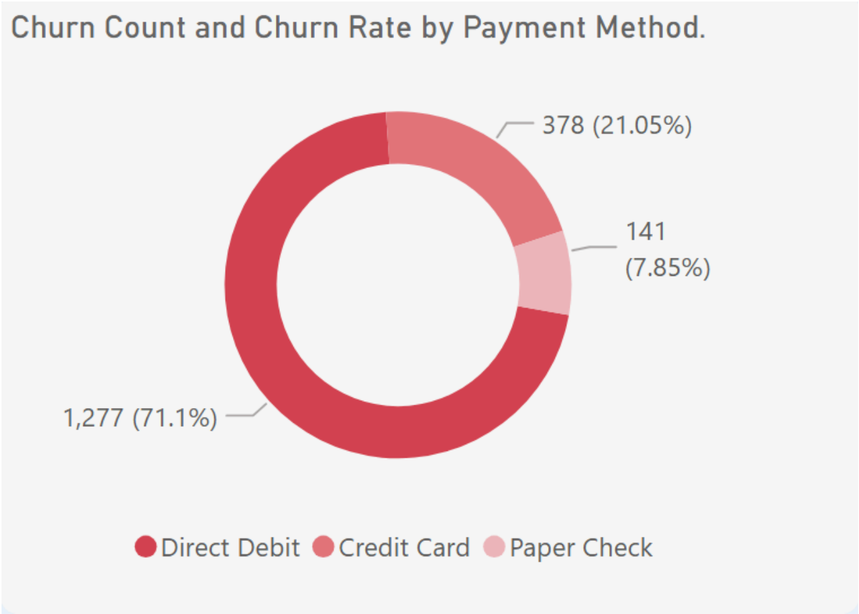


Key
INSIGHT

3. **Price Isn't the Main Issue**:
   - Only **11%** cited price as reason
   - **45% left for competitor features** (offers, devices)
   - "Attitude" and "Dissatisfaction" = 32% of churn

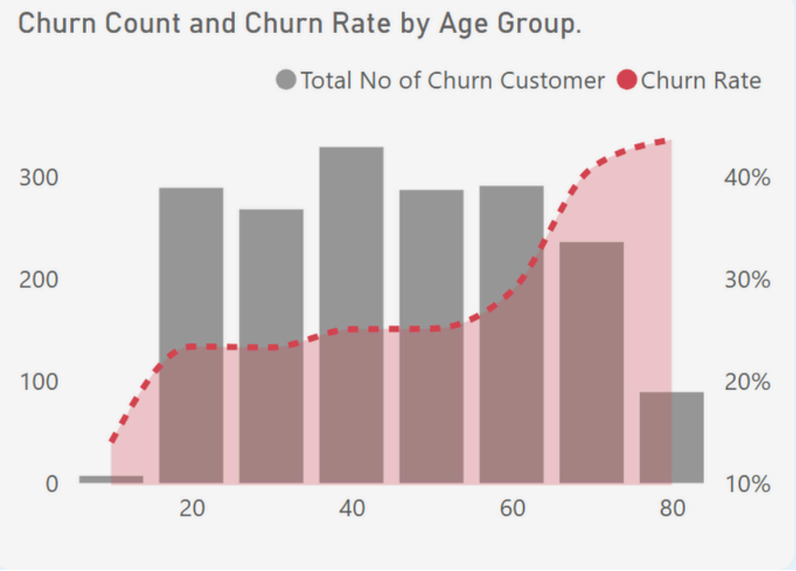


4. **Direct Debit users churn 3× more** than Credit Card or Credit Card users.
   - Only **7.8% of customers use Paper Check**, but they're disproportionately high-risk.

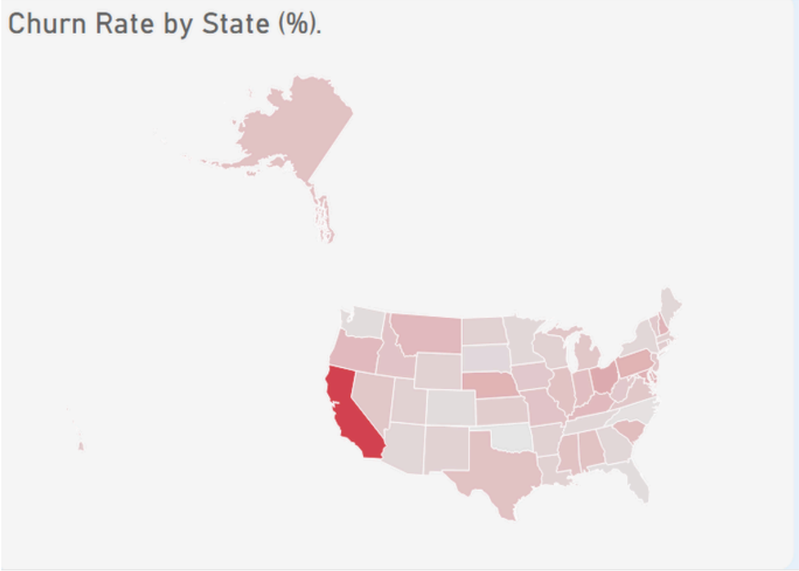


Key
INSIGHT

5. **Churn rate rises steadily with age** — from **14% at age 10** to **44% at age 80**, indicating older customers are significantly more likely to leave.
   - **Peak churn volume occurs in mid-life (ages 40–60)** — this group drives the **highest absolute number of lost customers** (e.g., 329 at age 40), despite a moderate churn rate (~25–29%).
   - **Young adults (10–20) show early warning signs** — while volume is low, churn rate jumps to **23% by age 20**.



6. **California** shows the highest churn rates (63%) —not just high volume.
   - High-churn states align with **dense urban markets & strong competition**.



RECOMMENDATION

- Offer **1-year contract discounts** to Monthly customers
- Launch **onboarding program** for first 90 days
- Improve **support training** (reduce attitude-related churn)
- Introduce **loyalty rewards** for 12+ month customers
- Benchmark **competitor plans** (data/device offerings)
- Pilot **automated retention alerts** for high-risk profiles
- Offer device upgrades + speed boost (compete on features, not just price)
- Target **18–25 cohort** with loyalty incentives (e.g., student plans, flexible contracts) — while protecting **46–55 segment** with retention outreach (e.g., anniversary offers).
- Ages 60–80: High churn rate → focus on service simplicity, billing clarity, loyalty rewards.
- Ages 40–60: High volume + rising churn → proactive engagement (e.g., usage reviews, plan

Expected Impact: 15–20% churn reduction → $1.1M+ annual revenue saved

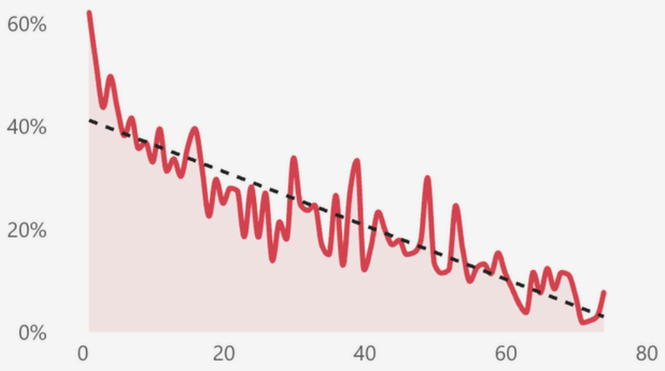
DATABEL Churn Analysis Dashboard

...a detailed dive into churning customers

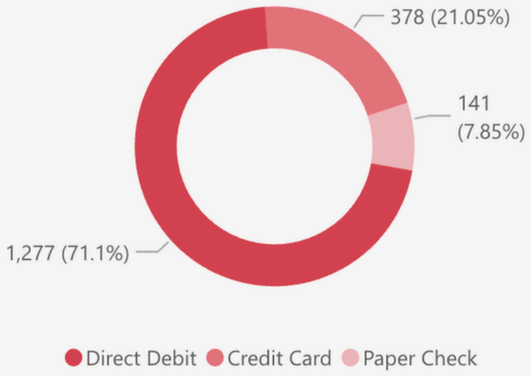
Reset | Female | Male

6,687	1,796	26.9%	7.25M	47
Total Customers	Total Churns	Churn Rate.	Total Revenue.	Average Age

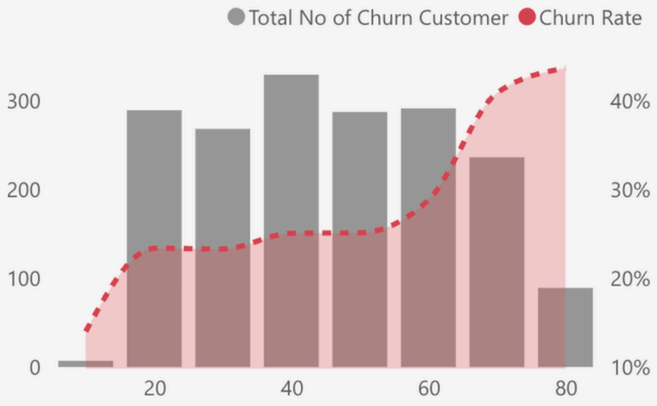
Churn Rate by Account Tenure (months).



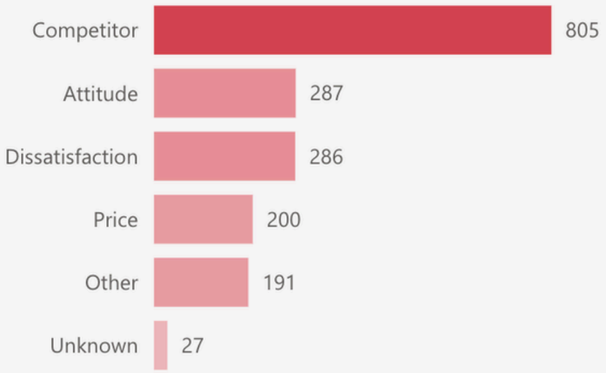
Churn Count and Churn Rate by Payment Method.



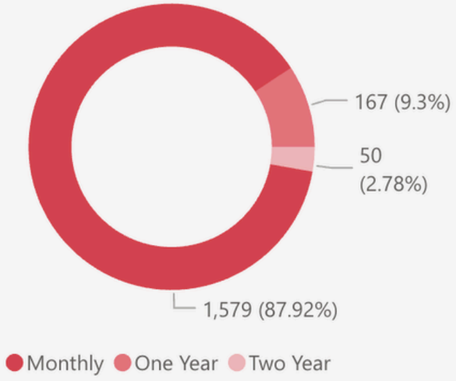
Churn Count and Churn Rate by Age Group.



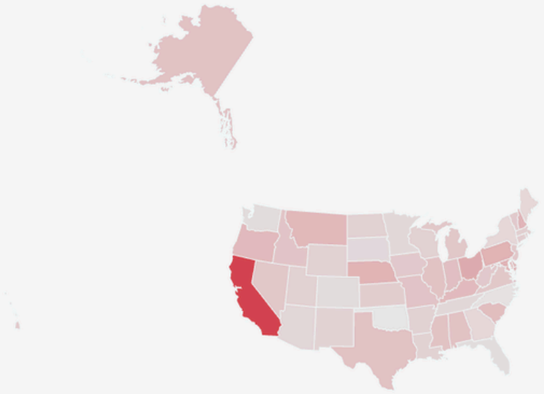
Churn Count by Churn Category and Reason.



Churn Count and Churn Rate by Contract Type.



Churn Rate by State (%).



THANK YOU